AgriVision4U

AgriVision4U
Agriculture Under Single Roof

Final Business Plan

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CHAPTER 1:

Analysis of our own company

AgriVision4U is an initiative to empower Indian agriculture and the food industry and bring about overall Rural development by bridging the gap between the agricultural service sectors and other stakeholders.

Founder and Director – Raju Prajapati

Established - 2021

Ownership Status – Private Limited

There are four planned company verticals:

Agriculture Ed-tech

As a start-up AgriVision4U has established itself strong in the edu-tech market. There are few competitive firms providing similar platform and variety of study programs like AgriVision4U. In one year of functioning the vertical has guided over 1000 students with over 10 different courses.

Consultancy Services

The vertical is under ideation and initial execution phase currently. This aims as becoming the highest revenue earning vertical of the company due to the high demand and scattered competition. These vertical needs high level of expertise and networking for its best functioning. Experts from the industry, government agencies, and freelancers shall be a part of this vertical inviting projects through bids. The domains covered in the projects would be Food safety and regulations, Business consulting, Dairy Technology, Precision Farming, and modern agriculture, etc.

Skill Bazaar

This vertical is close to launch and has been ideated to connect skill seekers and experts through various learning programs. The aim is to provide skill-based training to encourage employability and certified learning.

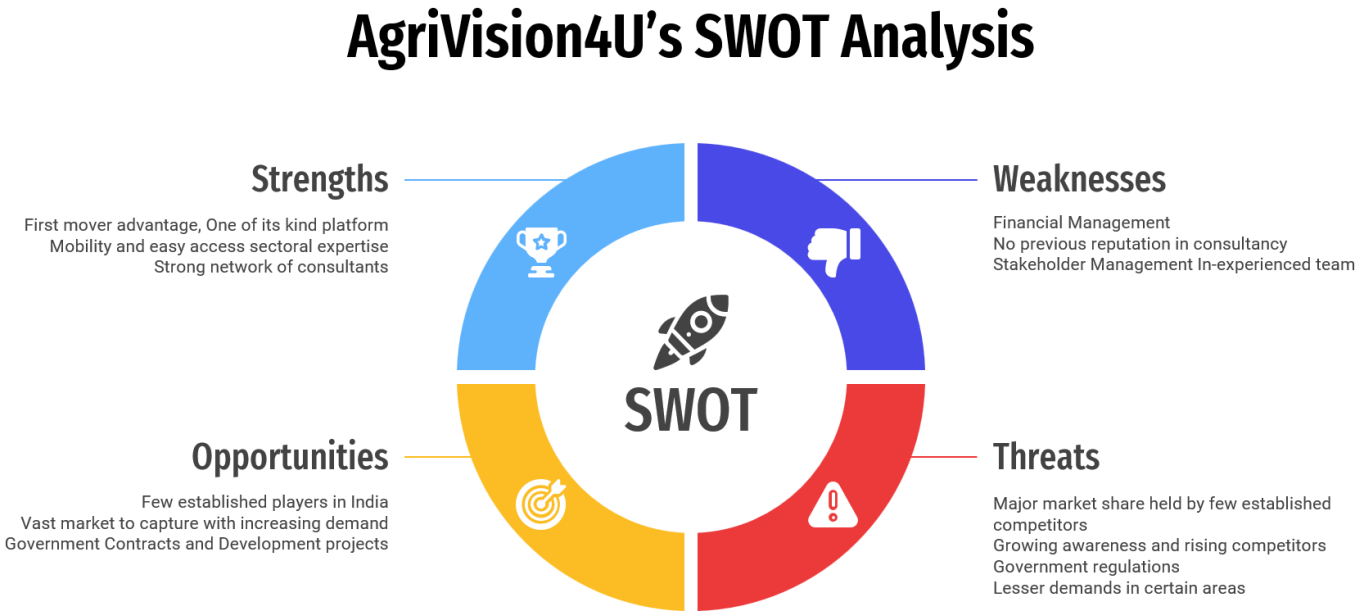
Laboratory Connect

This vertical is in the ideation stage and it will connect nationwide research laboratories and researchers to conduct experimental activities.

The company is functioning sustainably under Agri Edu-tech and skill-based training.

In this report we are largely understanding the prospects of the Consultancy vertical and its potential. The vertical will bring together experts from specific domains and work in collaboration by providing an organized platform for project management.

SWOT


AgriVision4U's SWOT Analysis
Strengths
First mover advantage, One of its kind platform
Mobility and easy access sectoral expertise
Strong network of consultants
Weaknesses
Financial Management
No previous reputation in consultancy
Stakeholder Management In-experienced team
SWOT
Opportunities
Few established players in India
Vast market to capture with increasing demand
Government Contracts and Development projects
Threats
Major market share held by few established competitors
Growing awareness and rising competitors
Government regulations
Lesser demands in certain areas

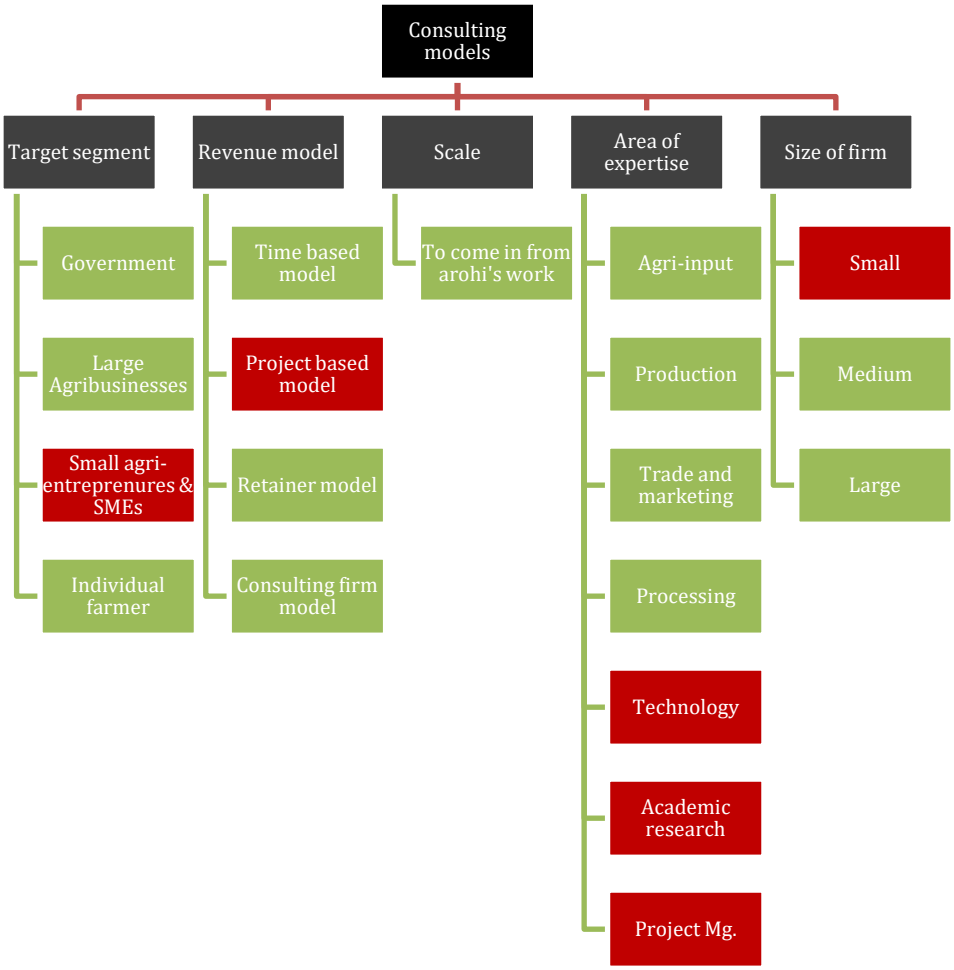
CHAPTER 2:

Defining our business model

INTRODUCTION

To decide a consulting business model, we have to make a decision on 5 parameters discussed in section xx of this report. In the below flowchart, the blocks marked in red, are major choices we are making. These choices define the core of our consulting business model.

To put it in other words, our business model proposes a small agriculture consulting firm with expertise in Project Mg., technology, and academic research, that will initially target small scale projects by Microentrepreneurs and generate revenues on a project-to-project basis.

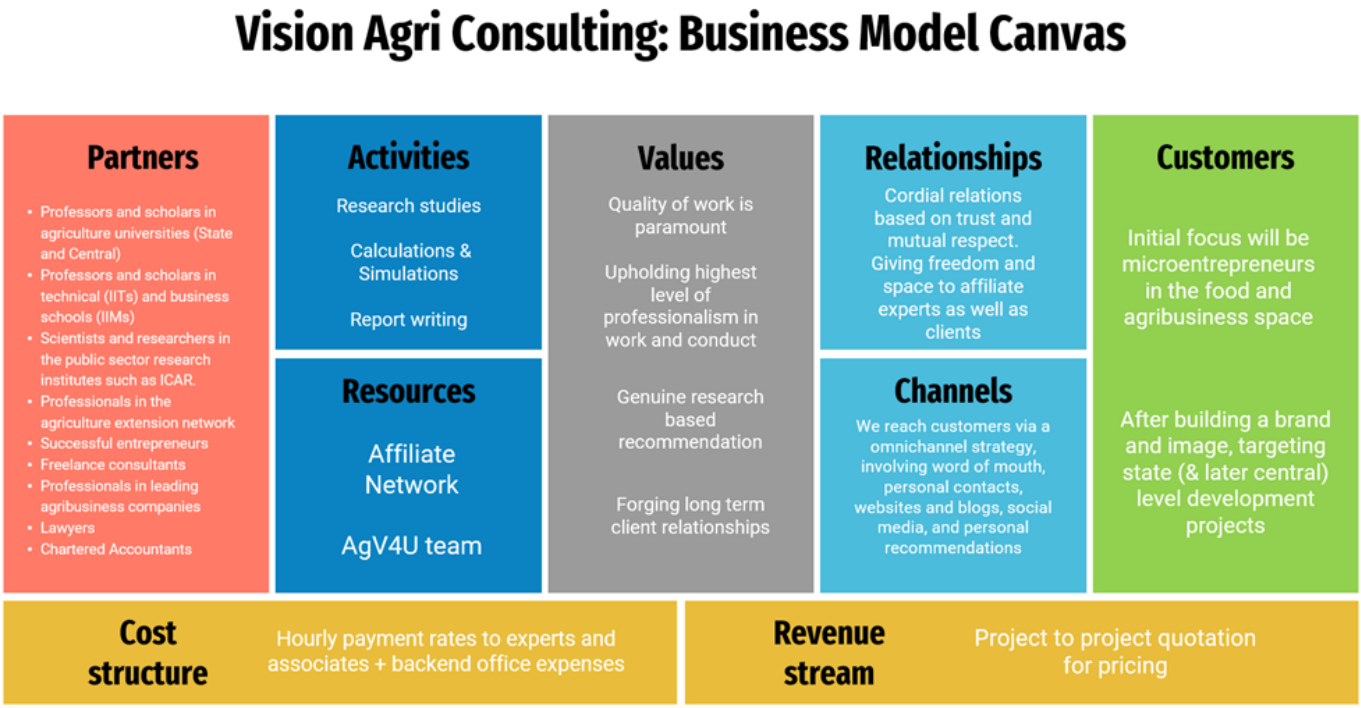


BUSINESS MODEL CANVAS

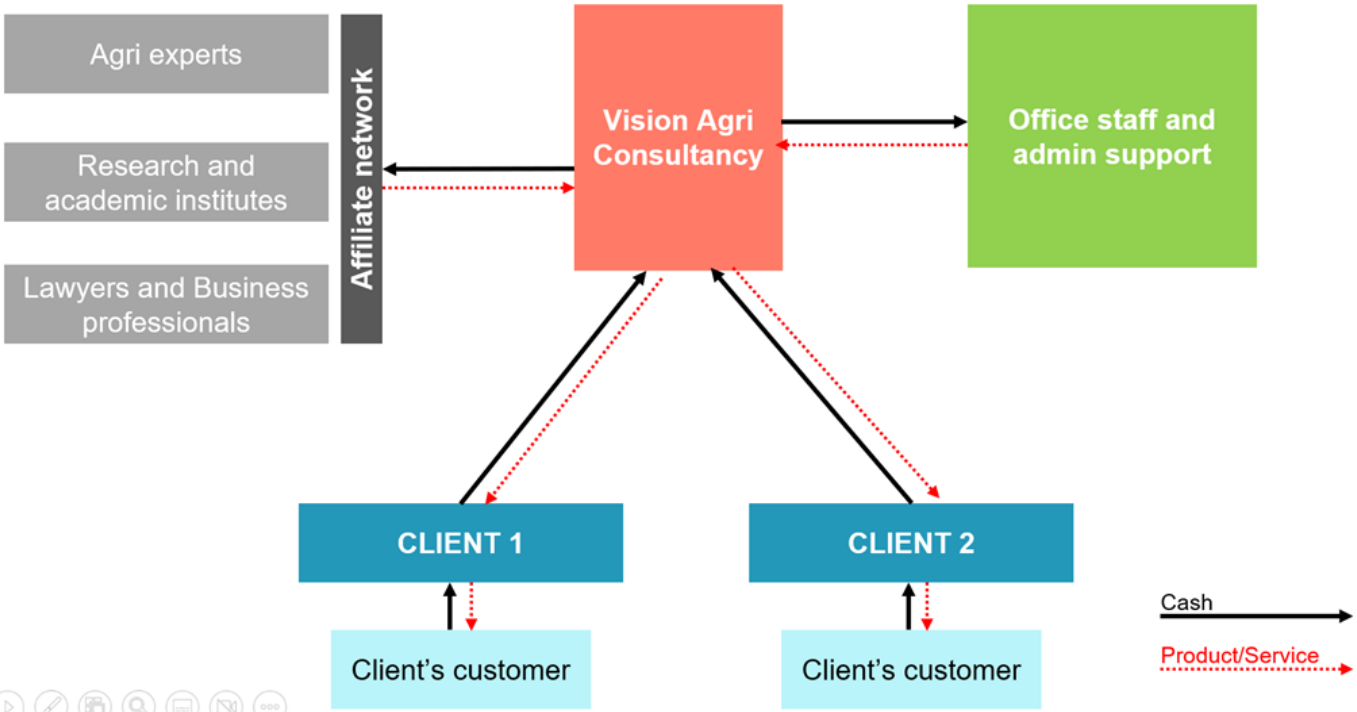
The Business Model Canvas is a strategic management template used for developing new business models and documenting existing ones. It offers a visual chart with elements describing a firm's or product's value proposition, infrastructure, customers, and finances, assisting businesses to align their activities by illustrating potential trade-offs.

The nine "building blocks" of the business model design template that came to be called the Business Model Canvas were initially proposed in 2005 by Alexander Osterwalder, based on his PhD work supervised by Yves Pigneur.

The BMC for our business model is presented below:



FLOWCHART OF THE BUSINESS PROCESS



TIMELINE FOR GROWTH

January 2023

Establish a backend support and admin team, assign email ids, phone nos., publish the website, social media handles and so on.

February 2023

Sign MoU or affiliate network joining deal with experts.

February 2023

Establish a project scouting team (2 people, with the only objective of getting projects). Avoid multitasking or giving this role part time to an employee. These employees need to be incentivized with variable pay.

March-April 2023

Take a small to moderate project with relaxed timeline for the first assignment. *Target to close this project by Dec'23

July-September 2023

Diversify the experience by taking projects of different nature.

2024 onwards

Aim for larger projects

CHAPTER 3:

Detailed business plan

MISSION

Facilitating the doers to do

(Sourcing Experts, Sourcing Projects & Sourcing Backend Infrastructure)

Vision Agri consulting's mission is to be the leading agriculture consulting firm in India providing expertise in the technical and economic analysis of agriculture and allied sector projects and activities. We will provide this service while adhering to our economic, social, and environmental responsibilities for our clients, our industry, and ourselves.

OBJECTIVES

Our objective is to establish the industry standard for technical and business excellence in the pursuit of visionary agriculture sector development in India, measured according to client-satisfaction and industry surveys. To accomplish this objective, the following elements are crucial:

- Systematic approach towards generating new business and onboarding experts.
- Highly professional and competent backend office infrastructure and staff to enable experts in delivering high quality work.
- Ability to manage confidentiality and intellectual-property issues among competitors.

- Professional relevance (state-of-the-art awareness) and knowledge growth in rapidly expanding industry.
- Demonstrated concern for clients' well-being, leading to repeat business and a good reputation for our firm.
- Retention of our own employees and partners.

KEYS TO SUCCESS

- Ability to achieve and maintain professional quality in all consulting assignments.
- Ability to gather projects and onboard experts.
- Professional relevance (state-of-the-art awareness) and knowledge growth in rapidly expanding industry.

COMPANY SUMMARY

Vision Agri Consulting (VAC) is a new consulting business subsidiary of AgriVision4U which shall open for business on April 1, 2023. Headquartered in Indore, MP, India. The subsidiary will be fully owned and managed by AgriVision4U and its management. We shall focus to offer consulting services only in industries and activities associated with agriculture and allied sectors and the integrated business systems that involve agricultural products in their value chia.

COMPANY OWNERSHIP

The subsidiary will be fully owned and managed by AgriVision4U and its management. The company will be organized as a pvt.ltd.,

which will allow for certain tax advantages. Start-up investment is needed. Initial funding if required will be raised internally from Agrivision4U or via grants, schemes or funds from government programmes. There is no plan to divest the company ownership in order to raise funds in the near future.

As a policy the investments in the consulting business unit will be kept a minimum, and most expenses will be funded from project advances on case-to-case basis.

COMPANY LOCATIONS AND FACILITIES

Office space rented in the city of Indore will serve as central office for the firms. A temporary office location may need to be setup closer to the client site for the duration of the project. The plan recommends having a mobile office setup (A ready to carry suitcase with necessary office supplies etc.) ready for quick mobility closer to the client location. The founder will retain a home office as well as one at the central headquarters. As a policy the firm shall also facilitate working from home for employees as well as experts.

SERVICES

Vision Agri Consulting shall sell consulting services to help clients at various stages of their own agricultural and allied sector ventures. The nature of the work we do is a combination of technical engineering related advisory, economic/financial forecasting, and management strategy, all on a strict confidential

basis. Our compensation for the projects shall be negotiated based on project-to-project basis and in certain circumstances, we can be compensated with equity in the client's venture.

SERVICE DESCRIPTION

The management-consulting services of Vision Agri consulting can come under the following:

- Market research and business development.
- Agriculture supply and demand.
- Economic analysis of projects and plans.
- R & D projects.
- Pilot and manufacturing facilities (preliminary and engineered designs).
- Financial assessment (risk-adjusted NPV) of capital-investment options.
- Affiliate Network services.
- Engineering and construction of green houses, irrigation setup or similar structures.
- Industrial and government facilities available for contractual R & D.
- Intellectual-property management and competitive-advantage strategies.
- Search for project funding (network to include potential investors).
- Client education (seminars, training, etc.).

WHO WILL BUY, AND WHY?

There are many start-ups, or groups considering starting up, within agritech space. Not necessary start-ups but also SME entrepreneur in floriculture, apiculture etc. These organizations are often severely short on resources (time, money, and people), and the pile of activities is always growing. Then, there are companies that have successfully started up and are now looking to grow their businesses or expand into new markets. There are also, many firms who are into other businesses but are looking to have projects related to agriculture as a CSR activity or to achieve sustainable development goals.

The key reasons that clients will use our services include:

- By removing technical obstacles, Vision Agri Consulting will save our clients money, or make them more profitable, compared to doing the work themselves.
- Technical expertise and market knowledge from actually working in the industry (the founder as well as top personnel expected to be recruited).
- We are committed to an in-depth understanding of technologies and economics. The larger management-consulting firms will apply general knowledge and tools gained from a variety of practices, but they will not necessarily have specific expertise. This is our business.
- Strategic vision is not always automatic; we can help a client see the future before their competitor does and gain essential competitive advantage.

HOW MUCH DOES IT COST?

At the outset of a project, the cost of our services will be outlined. We will bid for the project using an estimated number of hours for project completion. The standard hourly rate is ₹xx/hr (TBD) for partners and ₹xx/hr (TBD) for associates/assitants, for internal work. Outsourced services (through the Affiliate Network) will be billed at cost plus 10% (e.g. use of a lawyer charging ₹1000/hr means we charge the client about ₹1100/hr). In some cases clients will seek a fixed-bid contract which will not depend on actual hours spent on the project. Only when we have prior experience which allows us to provide an accurate quotation, will we offer our services.

Travel expenses will be additional to base fees. For hourly-based bids, travel costs will be billed directly to the client. Travel time itself will be billed at normal rates since (1) it is time not billable to other clients, and (2) a large percent of travel time will indeed be spent working.

We recognize that many of the smaller agri-tech start-ups or SMEs are often strapped for cash and might be unable to pay our fees, especially for longer projects. Rather than paying us cash, we can become an equity partner (on a confidential basis) in the client's venture. The terms would be negotiated, but essentially, we would be compensated with stock (if publicly traded or privately available) or other equity holdings. For example, if a start-up is selling ₹10 lakh in equity shares and hires us for a 10-week project normally billed at ₹70,000, we would become 7% owner of that company.

This option does pose some risk for us since we lose time and money if the start-up fails, but we would likely gain valuable experience as a consulting company to take to future assignments. Additionally, this pricing option is part of our own investment strategy as a firm and as individual partners. If one of these start-ups takes off and we have equity in it, obviously we stand to gain financially (beyond billable hours).

WHAT IS THE SERVICE, EXACTLY?

Our goal is to save our clients time and money by doing a combination of research studies, calculations and simulations, and report writing. We will utilize our skills, our education and experience, the literature/internet, and the Affiliate Network. Past experience, always utilized in a confidential manner, will be a crucial piece of our value proposition. Presentations, as often as appropriate, will be made to the client team. General communication will be accomplished through teleconferences, face-to-face meetings, e-mail, and fax. Travel will be scheduled as needed for efficient project completion.

INITIAL COMPETITION

Our primary competitors, in the first few years are likely to be the clients themselves. They may decide to do the work in-house. However, many companies involved in agribusiness, as with most other emerging industries, are extremely pressed for time and

personnel resources, so there should be a driver for outside help. Also, the unique collection of partners' experiences will hopefully give the client something they could not provide themselves, even if time allowed.

SALES LITERATURE [THE PITCH]

A variety of sales literature will be created. A sample brochure can be mailed or e-mailed as a PDF to interested parties. The website of Vision Agri Consultants will also be important. We will provide our philosophy and mission statement, along with many links to interesting agribusiness and allied resources. Rate information will not be posted, instead requiring an inquiry. We will welcome questions and comments by e-mail, which will go to a dedicated e-mail address for this purpose. Finally, and most importantly, jobs will be managed utilizing the website, for efficient exchange of information with the client. Each project will have its own unique and password-protected site, allowing two-way exchange of progress, ideas, calculations, reports, and presentations which are often difficult to send by e-mail.

FULFILMENT

The key fulfilment and delivery will be provided by the partners and associates of the firm. The real core value is professional expertise, provided by a combination of experience, education, and hard work. The service is mostly provided by directly employing

professionals, including the firm's founding partner full-time. The remainder of the service is supplied through a network of professional affiliates, which will have agreed to such collaboration with us. We refer to these allies as our Affiliate Network throughout this plan. Every project will be led by a partner.

FUTURE SERVICES

Every business is an evolving one. As we work with the industry, we might uncover issues that we did not intend to address as a consulting company but for which we can add value. Over time, some of our core activities could change, as we build reputation and experience in a particular area. Such activities could emanate from biotechnology, for instance. We shall keep continuously learning and expanding our affiliate network to make sure we are evolving with the clients. This becomes critical for long term client retention and repeat business.

AFFILIATE NETWORK

The Affiliate Network will be very important for the success of Vision Agri Consulting. We have to develop access to and experience with top industry experts mostly under the following categories:

- Professors and scholars in agriculture universities (State and Central)
- Professors and scholars in technical (IITs) and business schools (IIMs)
- Scientists and researchers in the public sector research institutes such as ICAR.

- Professionals in the agriculture extension network
- Successful entrepreneurs
- Freelance consultants
- Professionals in leading agribusiness companies
- Lawyers
- Chartered Accountants

A margin of 10% will usually be added to all work outsourced or sub-contracted to the affiliate network by Vision Agri Consulting.

CHAPTER 4:

Strategy & summary

MARKETING STRATEGY

We want to maintain a professional image, delivering high relative value while enjoying a comfortable, working relationship with clients. Although some confidential customers of ours will not promote us by word of mouth, it can be assumed that a client with a bad experience will freely communicate that message to other companies therefore our image in the market is the key to success in the long term. Consulting projects are always given on trust and recommendations. Our best work is itself our marketing message!

PRICING STRATEGY

Vision Agri Consulting initially will be priced lower than prominent management-consulting firms, in the initial 4-5 projects we are ok to work on a no profit no loss status. This will be essential in building our reputation which will then offer doors to large and profitable projects. Billing rates can be negotiated somewhat at the early stages of the business, to generate sales. Generally, we need to avoid the temptation to drop fees to gain jobs, however, when a potential client questions the cost of a project, we need to be able to clearly explain the benefits of our offering and expertise.

PROMOTION STRATEGY

Our firm will be promoted through publishing articles in trade journals and magazines and presenting at relevant conferences attended by members of the potential client pool. Another form of reputation building, as a branding strategy, includes media

opportunities at trade shows or other events. Direct mail, e-mail, and a strong internet presence will all play a part in the promotion strategy.

It is likely that the first job will be an assignment via personal links of the members of the team, after which we can continue to build.

MARKETING PROGRAMS STRATEGIC FOCUS

Marketing activities to be undertaken:

Summer 2023

This is when feelers are sent out to see what potential client's interest in consulting services might have; discussions and network building to begin.

Fall 2023

Network building continues, with emphasis on building an initial Affiliate Network, attendance at industrial conferences and trade shows.

December 2023

Brochures sent out by mail and e-mail (PDF) to top prospective clients, along with offer to come give a free seminar at their site in Jan. 2024; attendance at all relevant conferences and trade shows.

January 2024

Seminars at clients; attendance at all relevant conferences and trade shows, with presentations/posters where possible; continue direct mailing of brochures.

Spring 2024

While most of time will be engaged in client work, there is still much marketing to be done, and time is available for it; continue with activities similar to previous 6 months.

SALES STRATEGY [CAUTION]

We must always be aware of the general consulting phenomenon of the split between selling the job and fulfilling the job, which can lead to client dissatisfaction. The job should be developed and scoped, sold, and fulfilled by the same partner. Our clients should never buy a job from one partner and have it delivered by anybody other than that same partner.

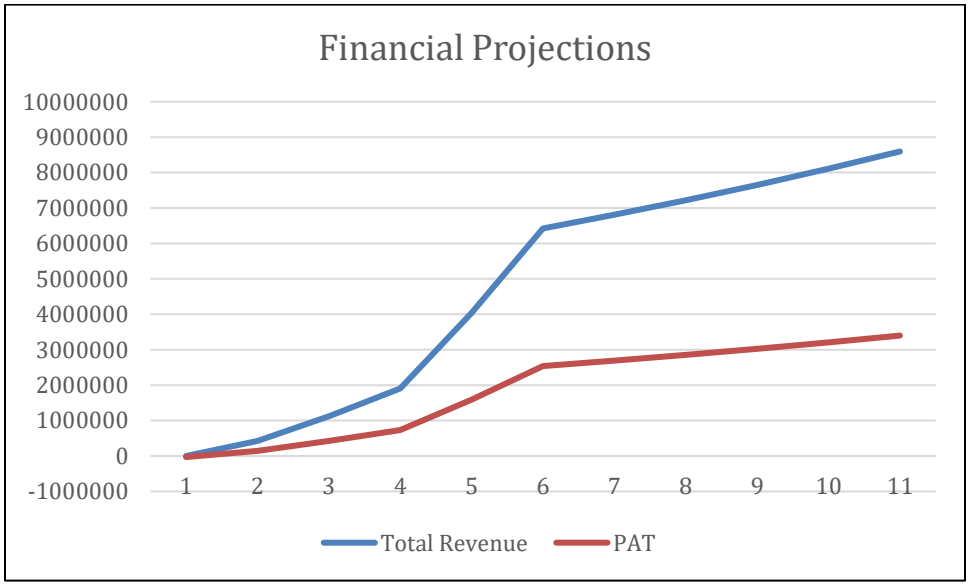
MANAGEMENT SUMMARY

The initial management team depends on the AgriVison4U team itself. There will be a Board of Advisors, made up of the key employees and a few key members of the Affiliate Network, that will help make management decisions. The business is immediately scalable, and the team has several recruits in mind that would be valuable additions to the firm. The organizational structure will eventually include several partners at an equal level, with junior-level associates reporting to those partners. If a revised plan calls for more immediate partners, and/or as the firm grows with the new industry, attracting top-quality management personnel should not be difficult.

PERSONNEL PLAN

In addition to the founding partners, and existing staff an associate consultant and a secretary with reasonable experience shall be hired at the outset. As we grow, we may need to hire on additional consultants, an accountant, a marketing person (including web design), and other staff and or professionals if necessary.

PROJECTED FINANCIALS

This section gives a rough estimate of the financial position of Vision Agri Consulting in the next 10 years.

Year	0	1	2	3	4	5	6	7	8	9	10	
#small scale projects	0	2	5	5	10	12	12	12	12	12	12	
Avg. per project revenue	2,00,000	2,12,000	2,24,720	2,38,203	2,52,495	2,67,645	2,83,704	3,00,726	3,18,770	3,37,896	3,58,170	*(6% inflation)*
#large scale projects	0	0	0	1	2	4	4	4	4	4	4	
Avg. per project revenue	6,00,000	6,36,000	6,74,160	7,14,610	7,57,486	8,02,935	8,51,111	9,02,178	9,56,309	10,13,687	10,74,509	
Total Revenue	0	424000	1123600	1905626	4039926	6423483	6808892	7217425	7650471	8109499	8596069	
Expert's payout (50%)	0	212000	561800	952812.8	2019963	3211741	3404446	3608713	3825235	4054750	4298034	
Admin expenses	30,000	31500	33075	34728.75	36465.19	38288.45	40202.87	42213.01	44323.66	46539.85	48866.84	*(6% inflation)*
PBT	-30,000	1,80,500	5,28,725	9,18,084	19,83,498	31,73,453	33,64,243	35,66,500	37,80,912	40,08,210	42,49,168	
Tax @ 20%	0	36100	105745	183616.8	396699.6	634690.6	672848.6	713299.9	756182.3	801641.9	849833.5	
PAT	**0**	**1,44,400**	**4,22,980**	**7,34,467**	**15,86,798**	**25,38,762**	**26,91,394**	**28,53,200**	**30,24,729**	**32,06,568**	**33,99,334**	
NPV	**₹ 1,07,57,746.71**